

Decision Rights

GLOSSARY 02 - SHEET 8 / 8

The formal allocation of who may decide, who must be consulted, and who is accountable

PROFESSIONAL DEFINITION

Decision rights are the formal allocation across roles of the authority to make a specified class of decision, the obligation to provide input to it, and the accountability for its consequences. Allocating them requires answering four questions for each decision: what is being decided, who decides, how the decision is made, and when it is made. Ambiguity in this allocation, rather than in the analysis, is the common cause of decisions that are made repeatedly and never implemented (Rogers and Blenko, 2006).

WHO DEFINED IT ORIGINALLY

The practitioner instrument in general use, RAPID, was developed by Paul Rogers and Marcia Blenko at Bain & Company and published in Harvard Business Review in 2006. Its theoretical foundation is Jensen and Meckling's (1992) treatment of specific knowledge and the co-location of decision rights with the knowledge required to exercise them, itself grounded in Hayek's account of dispersed knowledge.

WHY THIS DEFINITION WAS DEVELOPED

Firms were responding to slow decision-making by restructuring, which changed reporting lines without changing who could actually decide. Rogers and Blenko argued that the binding constraint was role ambiguity, and that it could be resolved decision by decision without any change to the organisation chart - a materially cheaper intervention.

FIGURE 1 - FIVE ROLES IN ONE DECISION

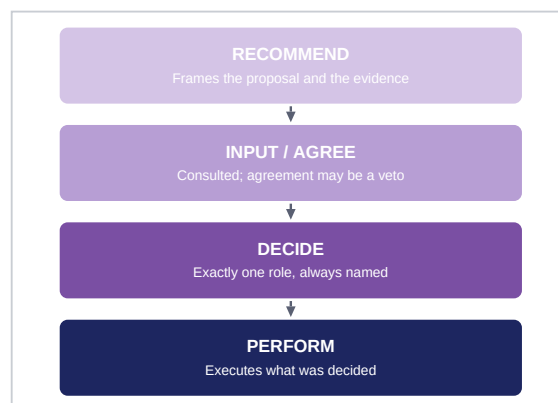


Figure 1. The decide role is singular by construction. Where two roles believe they hold it, the decision is made repeatedly and implemented never - the pattern most often mistaken for analytical disagreement (after Rogers and Blenko, 2006).

HOW IT IS USED

Take the specific decision, not the function; name the single role that decides and the roles that recommend, agree, provide input and perform; publish the allocation, since an unpublished allocation is indistinguishable from none.

WHEN IT IS USED

When an AI investment decision has been revisited three times, at the formation of an AI steering committee, at the boundary between central and business unit authority over models, and whenever accountability for a deployed system cannot be named.

BY WHOM IT IS USED

Executive committees allocating authority over AI investment, governance leads defining model approval paths, business unit heads negotiating central-local boundaries, and programme offices resolving decision deadlock.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

Its predecessor was the RACI matrix, which assigned responsibility for tasks within a project and treated the decision as a task like any other. RAPID separates the authority to decide from the obligation to agree, and makes the decider singular by construction, which removes the deadlock that RACI's multiple accountable parties permit. Applying it to the decision rather than the process is what allows the intervention to be made without restructuring.

RELATED DEFINITIONS IN THIS COURSE

[Upper Echelons Theory - Unit 2](#)
[AI Governance - Unit 6](#)
[Accountability Gap - Unit 6](#)
[AI Operating Model - Unit 3](#)
[Psychological Safety - Unit 2](#)

SOURCES (HARVARD REFERENCING STYLE)

- Jensen, M.C. and Meckling, W.H. (1992) 'Specific and general knowledge and organizational structure', in Werin, L. and Wijkander, H. (eds) Contract Economics. Oxford: Blackwell, pp. 251-274.
- Rogers, P. and Blenko, M. (2006) 'Who has the D? How clear decision roles enhance organizational performance', Harvard Business Review, 84(1), pp. 52-61.
- Blenko, M.W., Mankins, M.C. and Rogers, P. (2010) Decide and Deliver: Five Steps to Breakthrough Performance in Your Organization. Boston, MA: Harvard Business Review Press.